MeritQuant — Autonomous Trade Report

PRE-CLOSE · 3:30 PM ET · 26 Jun 2026 · 19:28 UTC

Market Assessment

Risk-on regime confirmed: VIX neutral at 18.8, yield curve positive at +0.31%, and HY spreads exceptionally tight indicating healthy credit. Semiconductor and AI capex narratives dominate the scanner with broad STRONG BUY signals. The setup favors selective quality adds while managing concentration in an already semi-heavy book.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	18.81	US Dollar (DXY)	101.36
Yield Curve 10Y-2Y	0.31	HY Credit (bps)	2.78
10Y Treasury (%)	4.41	Fed Funds Rate (%)	3.63

Trade Decisions

EXIT — GOOGL $0 | Conviction 7/10 | Tier 3

Thesis: (1) Macro is risk-on and supportive of large-cap tech, but this position has decoupled from the regime. (2) GOOGL has fallen to -7.1% P&L; at $342.03 vs $368.03 entry, approaching the 8% stop loss with no improving catalyst on the tape. (3) Technical setup is broken — price is below entry and below short-term MAs with no reversal pattern confirmed. (4) Exiting frees ~$16.7K of capital to redeploy into higher-conviction semis with active earnings catalysts. (5) Primary risk of holding is breaching the 8% stop and additional dead-money drag; cutting now preserves capital discipline ahead of stop violation.
Catalyst: No active positive catalyst; thesis weakening as price nears stop loss.
Technical Setup: Price below entry and short-term MAs, no reversal confirmation, downward drift.
Risk Factors: Re-entry risk if Alphabet rebounds on cloud/search news; mitigated by redeploying to confirmed setups.

ENTER — AMD $18,000 | Conviction 8/10 | Tier 1

Thesis: (1) Risk-on regime with tight HY spreads and positive yield curve fully supports cyclical AI/data center exposure. (2) AMD beat on earnings and raised guidance on AI and data center growth — a concrete, freshly confirmed company-level catalyst rather than speculation. (3) RSI at 55.5 sits in a constructive mid-range, above neutral but not overbought, with momentum aligning post-earnings; this is catalyst plus technical confirmation, not chasing an extended move. (4) Sizing at $18,000 (~9.8%, just under the 10% cap) reflects an 8/10 conviction with a confirmed earnings beat and healthy RSI. (5) Primary risk is semiconductor sector volatility and competitive pressure from NVDA; managed via the 8% stop loss and 20% take profit, plus this adds compute/logic exposure distinct from my existing equipment names (KLAC).
Catalyst: Q earnings beat with raised guidance on AI and data center growth.
Technical Setup: RSI 55.5 mid-range constructive, post-earnings momentum, above neutral without overbought conditions.

Risk Factors: Sector volatility, NVDA competitive pressure, post-earnings gap fade; capped by 8% stop.

Automatic Exits (SL / TP)

AVGO: STOP LOSS at -9.9%

Portfolio Snapshot

Total: **$169,087** | Cash: **$97,602** | Positions: **4/6**

Ticker	Shares	Entry	Current	Value	P&L $	P&L %
CLOU	839.0	$21.45	$21.91	$18,382	$+382	+2.1%
TSM	40.1	$449.32	$431.54	$17,288	$-712	-4.0%
KLAC	72.2	$235.45	$246.65	$17,809	$+809	+4.8%
AMD	34.7	$518.84	$518.84	$18,000	$+0	+0.0%

Notes: Rotating out of broken GOOGL near its stop and redeploying into AMD which has a confirmed earnings beat plus raised guidance and a healthy mid-range RSI. Book remains semiconductor/AI-concentrated; AMD adds logic/compute exposure distinct from equipment names KLAC and foundry TSM. Holding 5/6 slots post-rotation with ~$117K cash buffer for opportunistic adds. Avoided over-trading despite a sea of STRONG BUY signals — entered only the one with both catalyst and technical confirmation.

Memory applied: AVGO (-9.9% stop loss) lesson directly applied: despite a 10.0 scanner score and STRONG BUY, I declined to re-enter AVGO without independent thesis confirmation, choosing AMD whose earnings beat and raised guidance provide verified confirmation before full sizing. Sized AMD just under the cap rather than oversizing, honoring the discipline lesson.